Strategic Trading Analysis

Based on the detailed analysis report provided for **DIVISLAB.NS**, here is the evaluation from the perspective of a risk-averse positional trader.

Important Context: The report data is dated **February 21, 2026**. I will analyze the setup treating this date as "today" within the context of the provided simulation/projection.

Step 1: Audit the Data

* **Data Present:**
  * **Price Structure:** Daily and Weekly charts with candlestick patterns.
  * **Trend Indicators:** Moving Averages (EMA 20, 50, 200) and Supertrend (Daily, Weekly, 15m).
  * **Momentum:** RSI (14), MACD (12, 26, 9), and Relative Strength (RS) against the Benchmark.
  * **Volatility:** Bollinger Bands and Volatility Squeeze metrics.
  * **Fundamentals:** Long-term and Short-term growth metrics (Revenue, EPS, ROE).
* **Data Missing:**
  * **Fibonacci Retracements:** Specific retracement levels from the 2024-2025 rally are not explicitly drawn, which would help identify algorithmic support zones.
  * **Option Chain:** No Open Interest (OI) data to confirm support/resistance via derivatives positioning.
* **Confidence Level:** **High**. The report provides a comprehensive suite of technical and fundamental indicators sufficient for a robust technical decision.

Step 2: Analyze the Setup

* **Price Structure & Trend:**
  * The stock is in a **correction within a structural uptrend**. The price (6291) is currently testing a critical confluence zone.
  * **Support:** It is holding above the **200-day EMA (6220)**, which is the line in the sand for the long-term trend.
  * **Resistance:** The stock is facing immediate overhead resistance. The **50-day EMA is at 6259** (which price has just cleared), but the **Daily Supertrend is still in a Sell mode at 6392.50** (Page 10).
  * **Trend Status:** Page 6 notes a "Short-term <font color='#c0392b'>Downtrend</font>" because the EMA 20 (6206) is below the EMA 50 (6259)-a localized "Death Cross." However, the price trading above both suggests a potential trend change is brewing.

* **Momentum & Strength:**
  * **RSI:** At 53.68, RSI is neutral but rising, indicating recovering momentum without being overbought.
  * **MACD:** Page 13 shows a **<font color='#27ae60'>Bullish</font> Crossover** (Blue line crossing above Orange) near the zero line, accompanied by green histogram bars. This is a strong leading signal of momentum shifting to buyers.
  * **Relative Strength:** The RS Score is 50.5 (Page 4) and rated as "Neutral." The stock is currently lagging the Pharma sector (1Y RS < 1.0).

* **Volatility:**
  * Bollinger Bands (Page 8) show the price in the "Upper Half," but the bandwidth is tightening (0.0729). A volatility squeeze often precedes a violent move.
  * The Upper Bollinger Band is at **6372**, adding to the resistance cluster near the Supertrend level.

* **Conclusion on Setup:** The setup is a "High Risk / High Reward" mean reversion play off the 200 EMA. However, the "confluence" is imperfect. While MACD supports a buy, the Supertrend and Moving Average alignment (20<50) oppose it.

Step 3: Formulate the Recommendation

Should you enter this stock now?
NO.

Reasoning:
While the price is bouncing off the 200 EMA support, entering at 6291 puts you directly beneath a heavy resistance ceiling (Supertrend at 6392 and Upper Bollinger Band at 6372). The upside before hitting this "roof" is only ~1.5%, while the risk of rejection remains high due to the bearish Weekly Supertrend (Page 22).

As a risk-averse intermediate trader, you want to enter when the trend is confirmed, not when it is fighting for survival. We need the price to clear the "noise" (6300-6400 zone).

Conditional Plan (Buy Stop Strategy):

* **Condition to Buy:** The stock must register a **Daily Close above INR 6,410**. This confirms three things:
  1. Reversal of the Daily Supertrend to "Buy."
  2. Breakout above the Upper Bollinger Band (triggering a volatility expansion).
  3. Clearance of the localized bearish Moving Average crossover.
* **Entry Price:** **INR 6,415 - INR 6,425** (Enter on the confirmation day or slightly above the trigger).
* **<font color='#c0392b'>Stop Loss</font>:** **INR 6,190** (Hard stop).
  * *Rationale:* This places the risk below the critical 200 EMA (6220) and the 20 EMA (6206). If it falls back below these levels, the breakout failed.
* **<font color='#27ae60'>Take Profit</font>:** **INR 6,850** (Target 1) and **INR 7,000** (Target 2).
  * *Rationale:* 6850 is the supply zone from late 2025. 7000 is the psychological round number and previous ATH zone.
* **Risk/Reward Ratio:** Approximately 1:2 (Risking ~220 points to gain ~440 points).

Summary for Execution: Keep DIVISLAB on your watchlist. It is setting up for a move, but the trigger has not been pulled yet. Wait for 6410.

Candlestick Classification Analysis
Based on the **Candlestick Classification System** outlined in your request and the data provided in the attached report (specifically Pages 20 and 21), here is the detailed analysis for **DIVISLAB.NS**.

1. Current Candlestick Classification

* **Latest Signal:** **Buyer Control (+1)**
* **Current Price:** INR 6291.00
* **Trend Score (10-day avg):** **0.10** (Neutral/Slightly <font color='#27ae60'>Bullish</font>)

Interpretation of the Latest Candle:
The most recent daily candle is classified as **Buyer Control (+1)**. Breaking this down using your algorithm's logic:
* **Body Strength:** The candle has a **Moderate <font color='#27ae60'>Bullish</font> Body** (likely between 0.8 and 1.5 ATR). This indicates that buyers were able to push the price significantly higher from the open, showing conviction.
* **Close Position:** The price closed near the upper portion of the daily range. This is a crucial "upgrade" factor in your algorithm (Step 2), indicating that buyers held onto their gains into the market close and did not succumb to late-day profit-taking.
* **Volume:** The classification is "Buyer Control" rather than "Strong Buyer Control." This suggests the **Volume Multiplier (Step 4)** was likely neutral (0.8x - 1.3x average) or low. While price moved up, it lacked the explosive institutional volume required to trigger the +2 "Strong Control" signal.

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2. Trend Context & Recent History (Page 20 & 21)

* **10-Day Trend Score (0.10):** This score is extremely close to zero, which tells a story of a **battleground**. The market has been oscillating between "No Control" (0) and minor controls (+1/-1). The slight positive skew (0.10) suggests the momentum is very slowly shifting from sellers to buyers.
* **Distribution:** The summary shows a massive dominance of "No Control" days (110 count). This indicates DIVISLAB is a stock prone to choppy, indecisive price action (wicks on both sides), making "Control" signals like the current one more significant.
* **Visual Analysis (Page 21):**
  * The stock suffered a sharp decline (Red/Seller Control candles) from the 7000 highs down to the 6000 level.
  * Around the INR 6000 mark, we see a cluster of "No Control" (Grey) candles, indicating sellers ran out of steam and the market entered equilibrium.
  * The emergence of the current **Buyer Control (+1)** candle out of this consolidation zone suggests a **failed breakdown** and the start of a potential reversal.

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3. Support & Resistance Confluence (Page 6 & 23)

To validate the Candlestick signal, we look at the EMAs:
* **The Reclaim:** The current price (6291) has successfully pushed back above the **200 EMA (6220)** and the **50 EMA (6259)**.
* **The Setup:** A "Buyer Control" candle occurring right as price reclaims the 200-day moving average is a high-probability bullish setup. It implies that the long-term trend support is being defended vigorously.

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4. Prediction: Which side should the price be?

Verdict: BULLISH (Short-Term Reversal)

The price action suggests a movement to the **UPSIDE**, targeting a recovery rally.

Reasoning:
1. **Rejection of Lows:** The market found a floor at the psychological 6000 level and the candlestick classification has shifted from Seller Control ? No Control ? **Buyer Control**. This is a classic bottoming sequence.
2. **Key Level Reclamation:** The "Buyer Control" candle closed firmly above the 50 EMA and 200 EMA. This changes the immediate psychology from "downtrend" to "recovery."
3. **Trend Score Turnaround:** The 10-day average ticking positive (0.10) confirms the immediate bleeding has stopped.

Price Targets & Risk Management:
* **Immediate Target:** The price will likely test the recent breakdown shelf around **INR 6450 - INR 6500**.
* **Watch Out For (The <font color='#c0392b'>Bearish</font> Case):** The volume was not "High" (otherwise it would be +2 Strong Control). If the next candle is a "No Control" (Grey) or "Seller Control" (Red) that closes back below INR 6220 (200 EMA), this current signal was a "fakeout" or a "dead cat bounce."

Trader's Action Plan:
Look for the next candle to confirm. If the next candle maintains "Buyer Control" or even "No Control" but holds above INR 6250, the bullish reversal is valid.

News & Analyst Targets
Date: February 21, 2026

Subject: Stock Research Report: Divi's Laboratories (DIVISLAB)

Here is the latest research and information on Divi's Laboratories for the week ending February 21, 2026.

1) Latest News for DIVISLAB (Week of Feb 15-21, 2026)

The primary sentiment this week is dominated by the market's reaction to the Q3 FY26 earnings released late last week (Feb 11-12) and subsequent technical weakness.

* **Derivatives & Technical Weakness (Feb 17-20):**
  * On **Feb 20, 2026**, Divi's Lab recorded a significant surge in Open Interest (OI) of **10.4%** in the derivatives segment, accompanied by high volumes. This activity, alongside a marginal price decline, suggests fresh short positioning or hedging by sophisticated investors.
  * Technical indicators shifted to "<font color='#c0392b'>Bearish</font>" this week (Feb 17), with the stock trading below key moving averages (5-day, 20-day, and 50-day) following the post-earnings sell-off.
* **Q3 FY26 Earnings Aftermath:**
  * The stock continues to digest the **Q3 FY26 results** (released Feb 11), where Divi's reported a **Consolidated Net Profit (PAT) of INR 583 crore**, a marginal decline from INR 589 crore YoY.
  * **Revenue Growth:** Consolidated total income rose **12.1% YoY** to **INR 2,692 crore**.
  * **Exceptional Item:** The bottom line was impacted by a one-time exceptional loss of **INR 74 crore** related to new labor code adjustments.
  * **Operational Beat:** Despite the PAT miss, EBITDA grew **19.8% YoY** to INR 890 crore, with margins expanding to ~34.2%, indicating strong core operational health.
* **Strong Export Data:**
  * Data released this period highlights robust export performance for December 2025, with shipments totaling **$117 million**, a **49% month-on-month growth**. This signals a recovery in global demand for APIs and Custom Synthesis.

2) Brokerage Upgrades & Downgrades

Recent analyst activity has been mixed, with a divergence between fundamental long-term views and technical short-term calls.

* **MarketsMOJO:** Downgraded to <font color='#c0392b'>SELL</font> (from Hold) earlier in February and reiterated the call this week (Feb 16/17). The downgrade cites expensive valuation (PEG ratio > 1.8) and deteriorating technical trends, despite the company's high ROE and ROCE.
* **Jefferies:** Maintained a constructive stance (Buy rating issued in prior cycle) with a target of **INR 7,150**, betting on the "China-plus-one" strategy and sustained growth in the Custom Synthesis segment (CS).
* **Consensus Rating:** The broader analyst community remains **Neutral**. Out of ~32 analysts covering the stock, the consensus leans towards "Hold" to "Buy," with few "Sell" recommendations outside of quantitative/technical desks.

3) Indirect News Impacting DIVISLAB

* **Sectoral Rotation (Defensive Bets):** With the broader Indian market (Sensex/Nifty) facing volatility and profit-booking in Feb 2026, money is rotating into defensive sectors like Pharma. However, Divi's specific earnings miss has caused it to underperform its sector peers this week.
* **US FDA & Regulatory Landscape:** Ongoing stability in US pricing for generics and a lack of new adverse observations for Divi's facilities remain key positives, supporting the "Buy" thesis for long-term investors.
* **Raw Material Costs:** Analysts note that raw material volatility has stabilized, aiding the EBITDA margin expansion seen in Q3.

4) Latest Price Targets (Analyst Community)

The following table summarizes the latest price targets and ratings from major brokerages and consensus data as of

Feb 21, 2026.

Brokerage / Source	Rating	Price Target (INR)	Outlook / Notes
Jefferies	**Buy**	**7,150**	Positive on Custom Synthesis & Export recovery.
MarketsMOJO	**Sell**	N/A	Downgraded on Valuation & <font color='#c0392b'>Bearish</font> Technicals.
Consensus Mean	**Neutral/Buy**	**6,870**	Average of 32 analysts. Potential Upside: ~10%.
Consensus High	--	**9,140**	Most bullish street estimate.
Consensus Low	--	**5,140**	Most bearish street estimate.
Trendlyne	**Buy**	**6,445**	Average target from 11 recent reports.

Analyst Summary: While the long-term structural story (CDMO growth, China+1) remains intact, the immediate short-term view is clouded by the Q3 earnings "miss" on the bottom line and technical weakness. Investors are advised to watch the **INR 6,050-6,100** support levels closely.

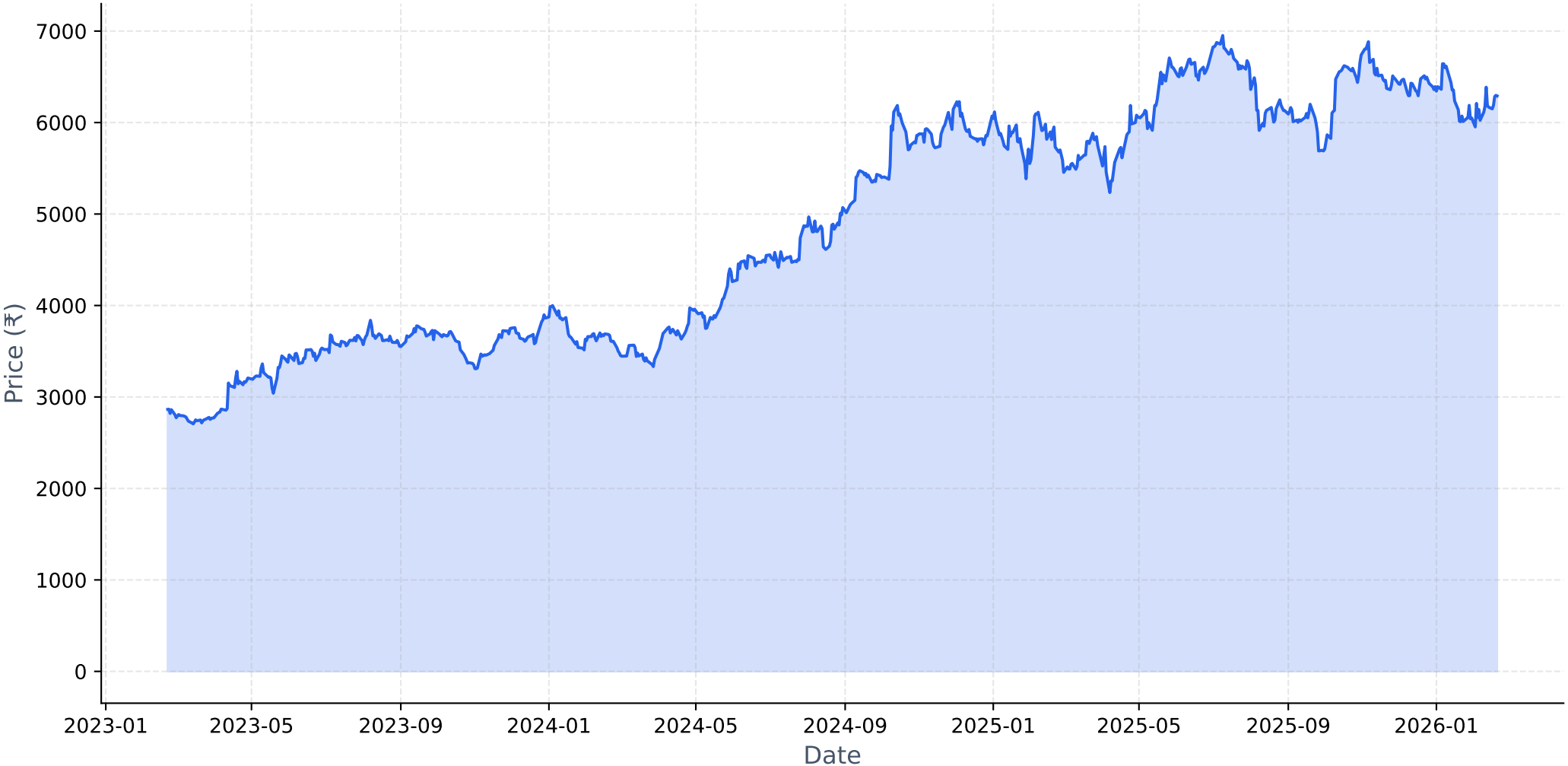
Stock Detailed Analysis Report

DIVISLAB.NS

Current Price: ₹6291.00

Generated: 2026-02-21 09:24

DIVISLAB.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	19.61%	1.95%
Net Income	No	Yes	36.94%	-9.55%
ROE	No	Yes	24.15%	-16.61%
EPS	No	Yes	36.93%	-9.55%

Short-term Fundamental Analysis (6 Quarters)

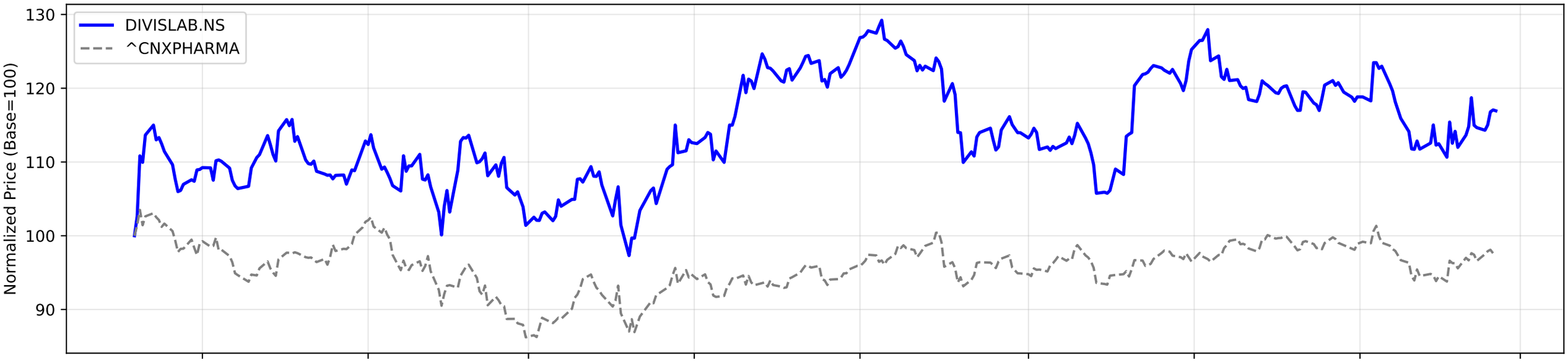
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	8.05%	2.93%
Net Income	Yes	6.97%	4.30%
ROE	Yes	18.95%	18.95%
EPS	Yes	7.27%	13.81%

DIVISLAB.NS - Relative Strength Analysis

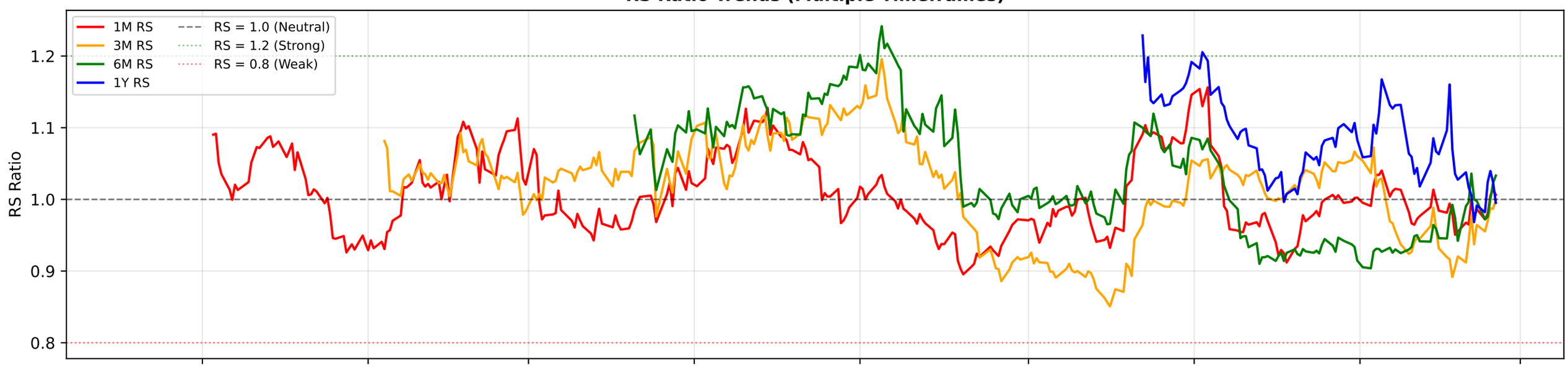
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXPHARMA
Sector:	Pharma
Classification:	**Emerging Leader**
RS Score:	50.5/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.006 [Leader]**
3M RS:	**0.999 [Neutral]**
6M RS:	**1.033 [Leader]**
1Y RS:	**0.995 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (1.006) > 3M (0.999)
✓ **Medium-term Lagging:**	1Y=0.995 (≤1.0)
✗ **Performance Improving:**	**Not improving**

Relative Strength Analysis: DIVISLAB.NS vs ^CNXPHARMA
Classification: Emerging Leader

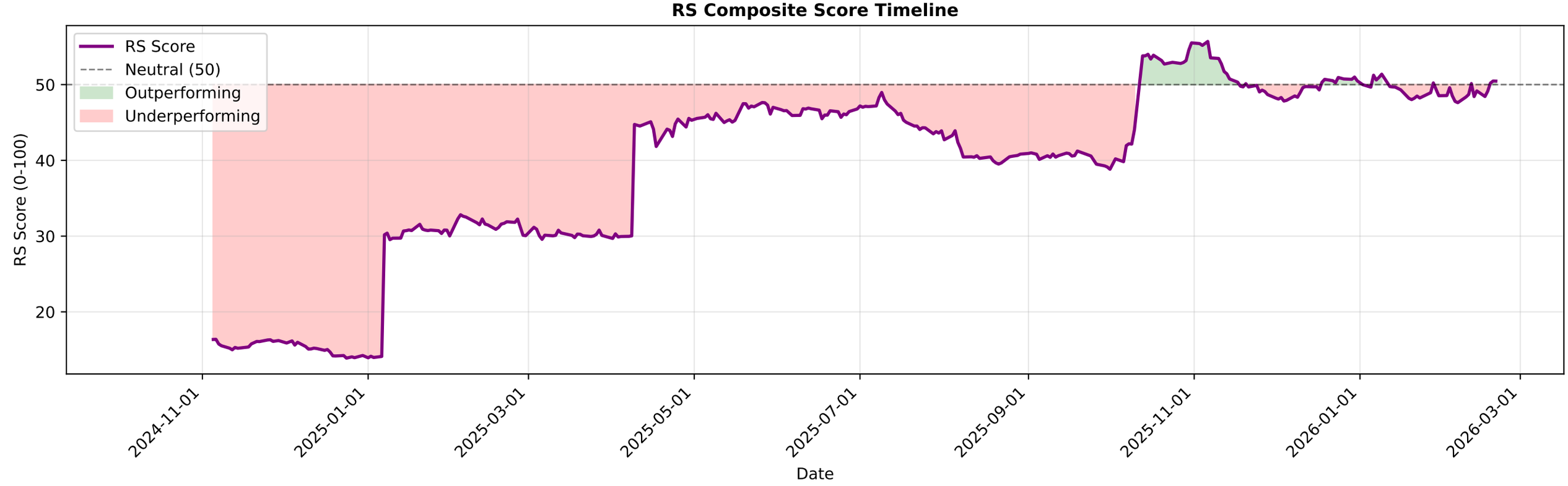
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

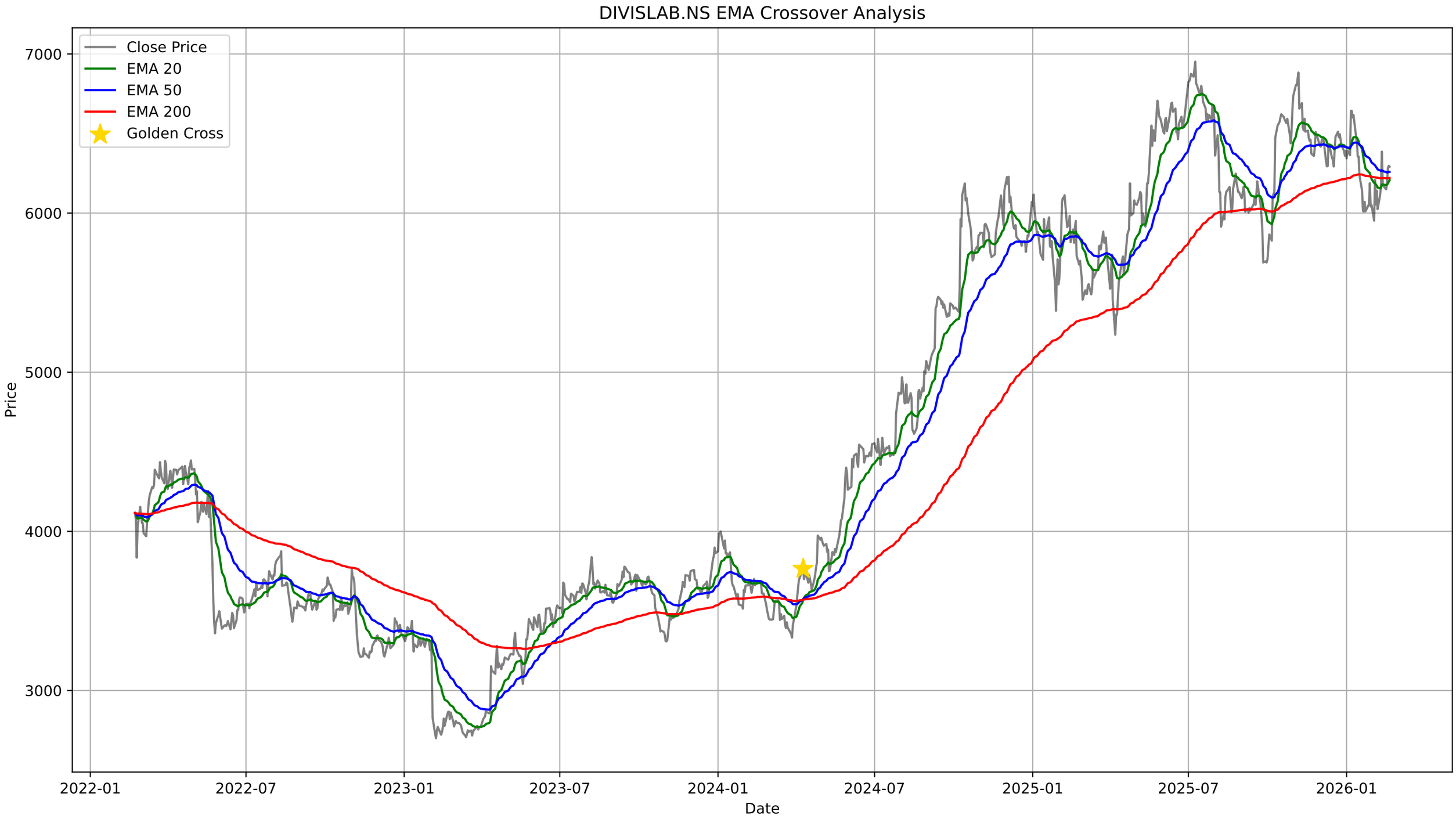


RS Composite Score Timeline



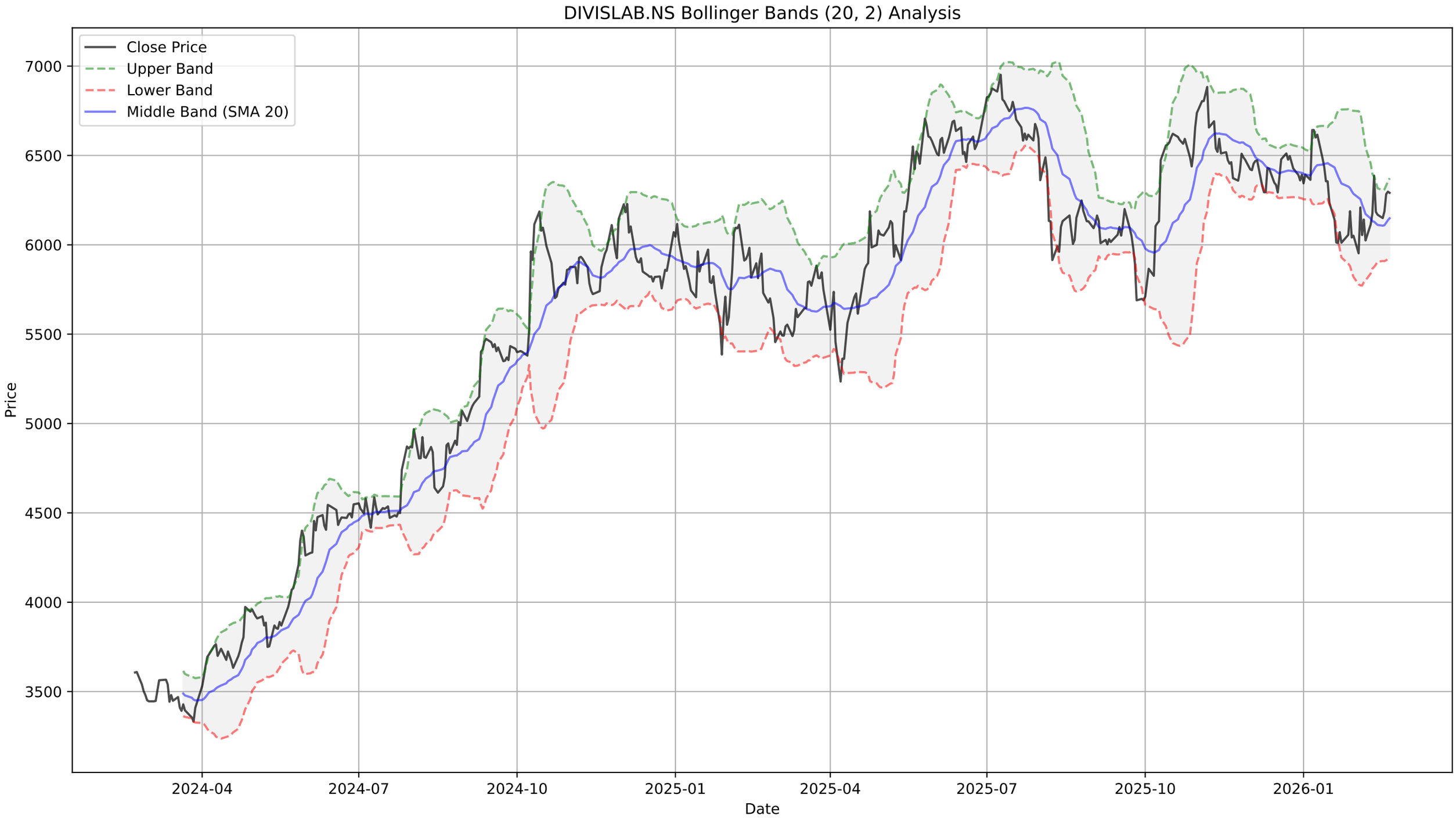
DIVISLAB.NS - EMA Crossover Summary

EMA 20:	6206.75
EMA 50:	6259.30
EMA 200:	6220.88
Trend Status:	**Short-term Downtrend**
Golden Cross Date:	2024-04-09 00:00:00+05:30
Golden Cross Price:	3764.60


DIVISLAB.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
7000
6000
5000
4000
3000
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

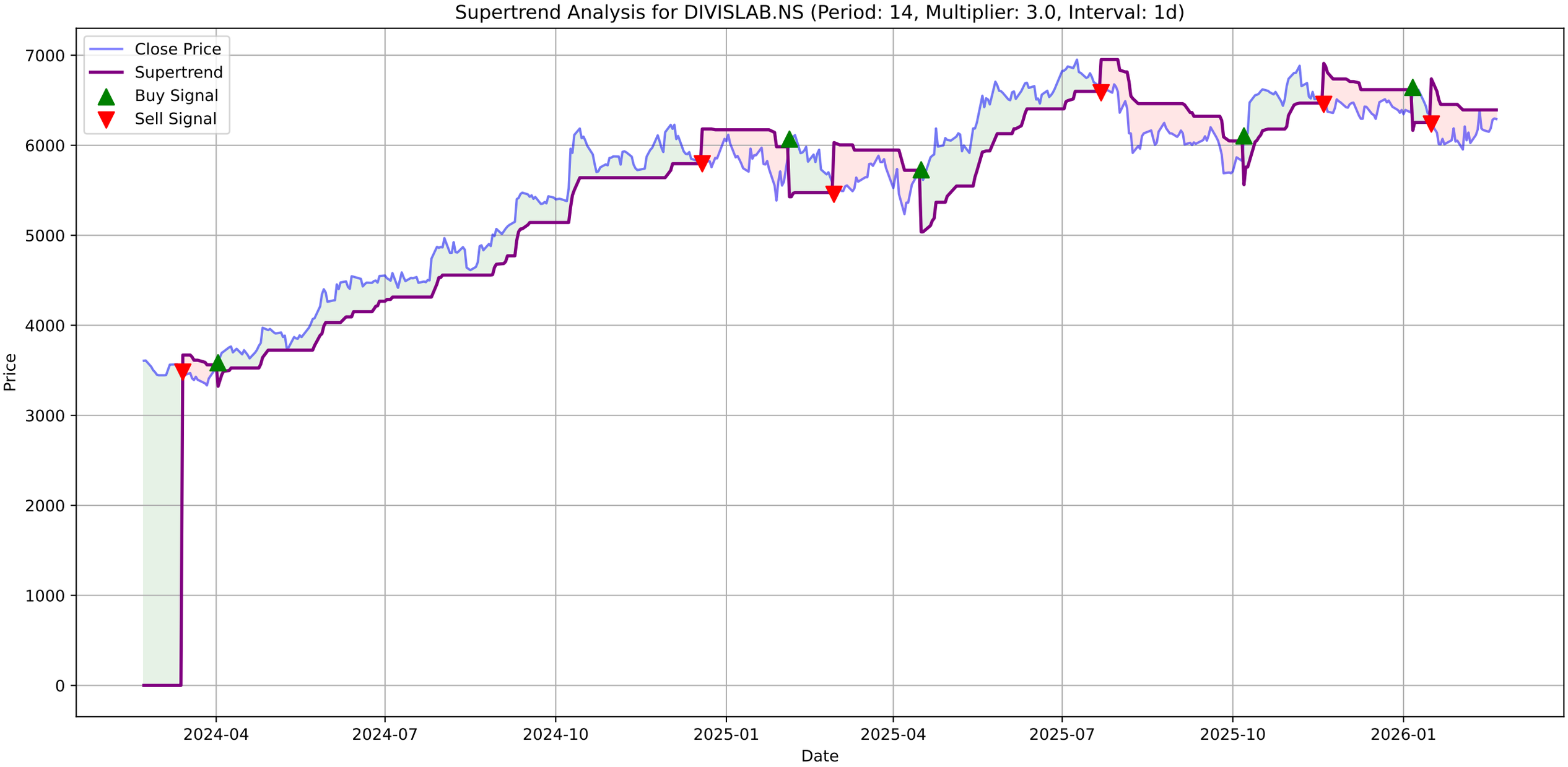
DIVISLAB.NS - Bollinger Bands Summary

Current Price:	6291.00
Upper Band:	6372.63
Middle Band (SMA 20):	6148.38
Lower Band:	5924.12
%B:	0.8180
Band Width:	0.0729
Status:	Upper Half
Signal:	None


DIVISLAB.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

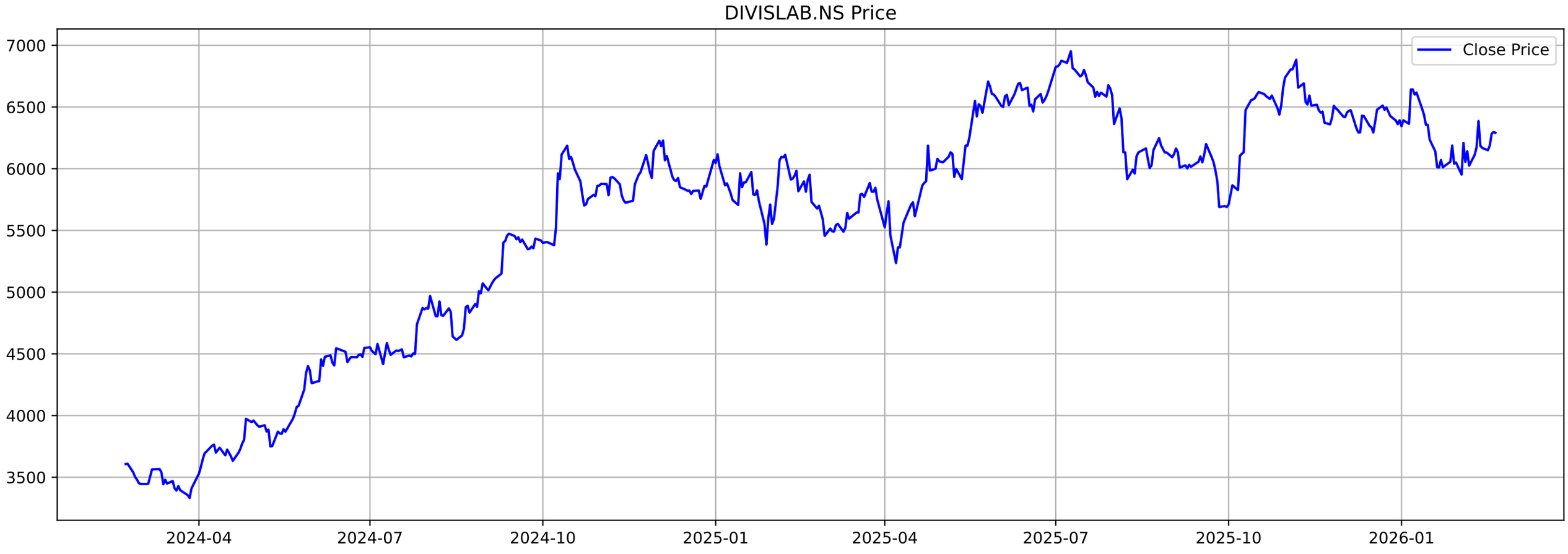
DIVISLAB.NS - Supertrend Summary

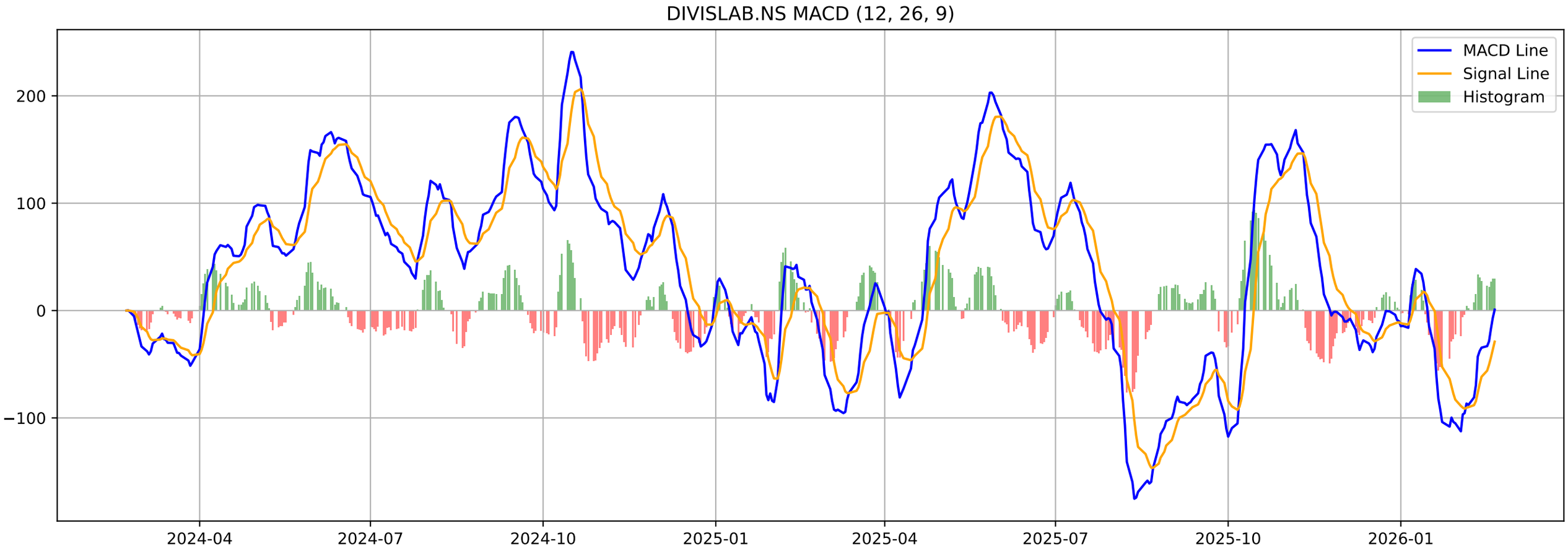
Status:	**DOWNTREND (Sell)**
Supertrend Value:	6392.50
Signal Identified On:	2026-01-16


Supertrend Analysis for DIVISLAB.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
7000
6000
5000
4000
3000
2000
1000
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

DIVISLAB.NS - MACD Summary

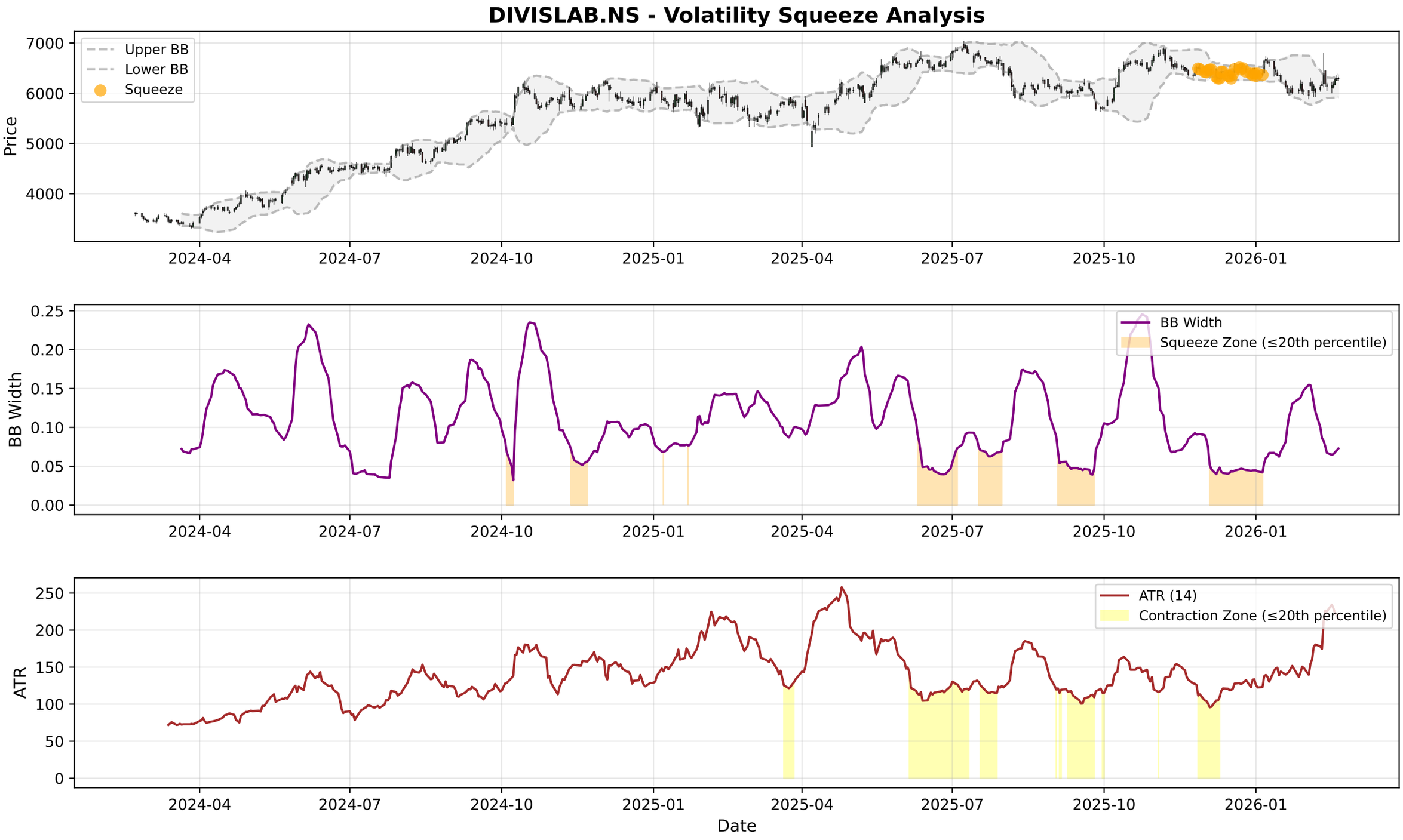
MACD Line:	0.79
Signal Line:	-29.02
Histogram:	29.81
Trend:	**Bullish**
Momentum:	**Strengthening**
Signal:	None


DIVISLAB.NS Price
Close Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


DIVISLAB.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
200
100
0
−100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

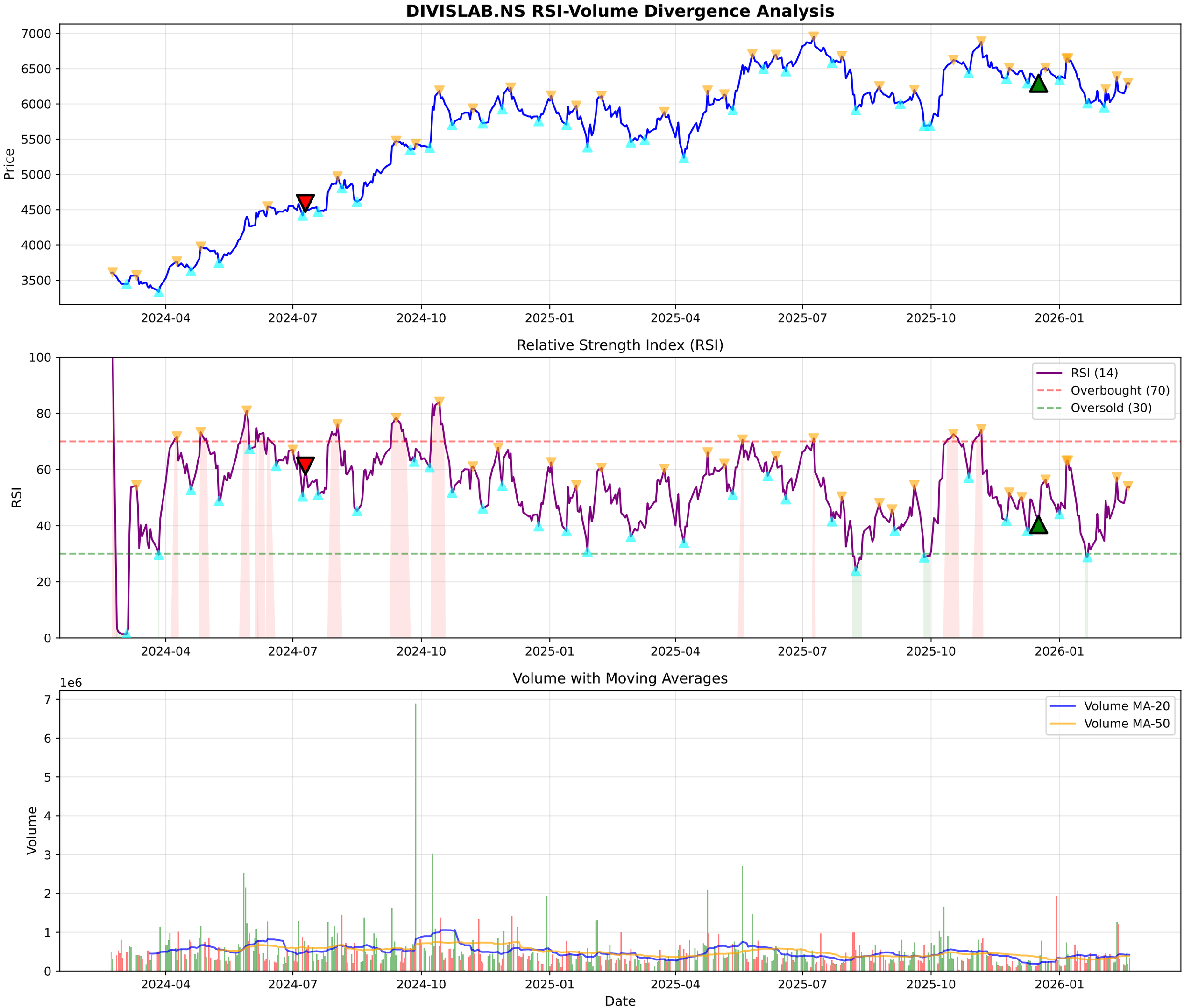
DIVISLAB.NS - Volatility Squeeze Summary

BB Width:	0.0729
ATR:	214.7857
Total Signals:	27
Signal 1:	BB Squeeze at 2025-12-30 00:00:00+05:30 (Price: 6360.50)
Signal 2:	BB Squeeze at 2025-12-31 00:00:00+05:30 (Price: 6392.50)
Signal 3:	BB Squeeze at 2026-01-01 00:00:00+05:30 (Price: 6344.00)
Signal 4:	BB Squeeze at 2026-01-02 00:00:00+05:30 (Price: 6392.50)
Signal 5:	BB Squeeze at 2026-01-05 00:00:00+05:30 (Price: 6363.50)


DIVISLAB.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
7000
6000
5000
4000
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
BB Width
Squeeze Zone (≤20th percentile)
0.25
0.20
0.15
0.10
0.05
0.00
ATR (14)
Contraction Zone (≤20th percentile)
ATR
250
200
150
100
50
0
Date

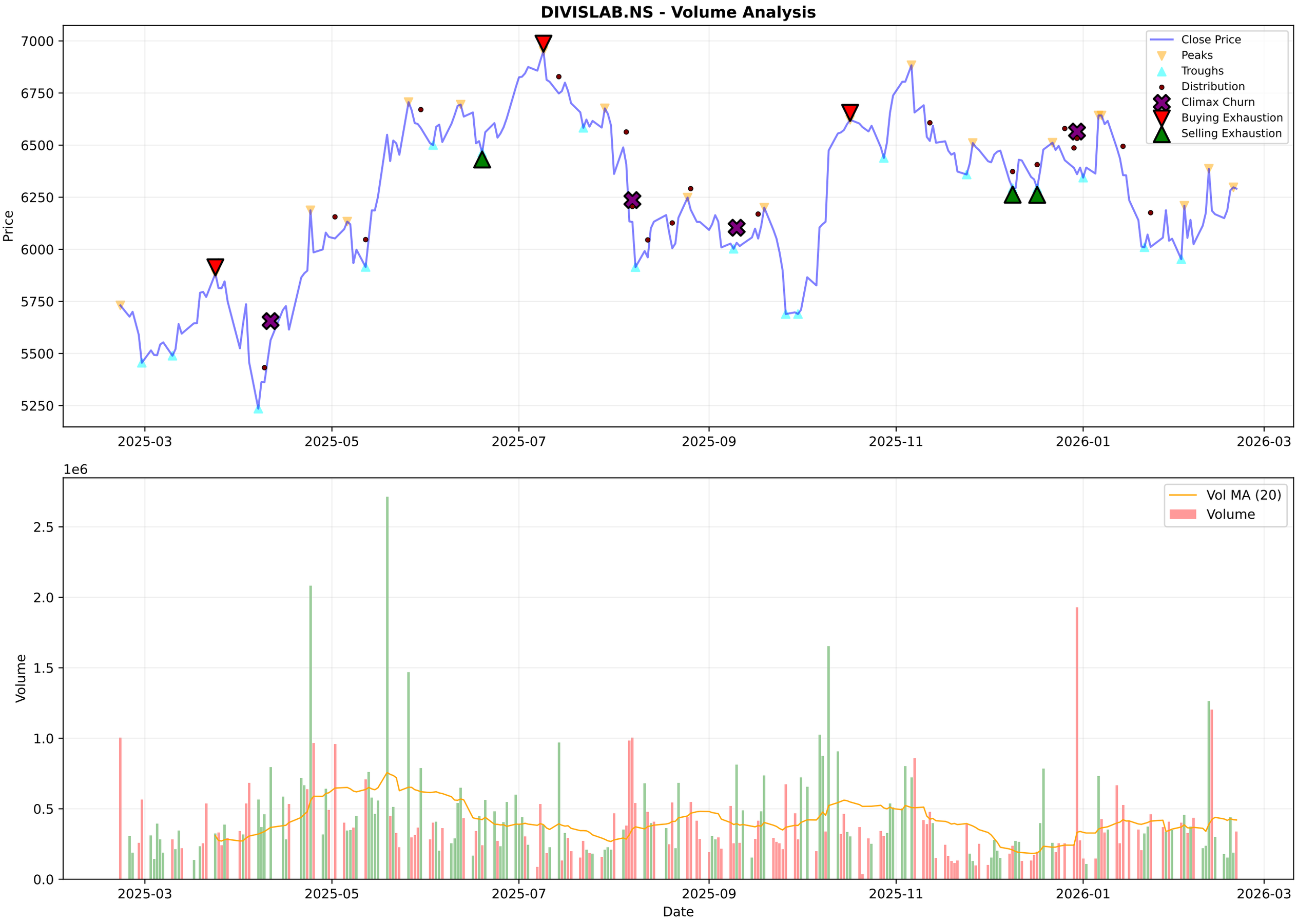
DIVISLAB.NS - RSI-Volume Summary

Current RSI:	53.68
Current Volume:	338573
Volume MA 20:	420677
Bullish Divergences:	1
Bearish Divergences:	1
Bullish Div 1:	Date: 2025-12-17 00:00:00+05:30, Price: 6293.00
Bearish Div 1:	Date: 2024-07-10 00:00:00+05:30, Price: 4587.77


DIVISLAB.NS RSI-Volume Divergence Analysis
Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e6
Volume
7
6
5
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

DIVISLAB.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**30 Signals Detected**
:	
2025-12-29 [-]:	Distribution Day
2025-12-30 [-]:	Distribution Day
2026-01-14 [-]:	Distribution Day
2026-01-23 [-]:	Distribution Day


DIVISLAB.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
7000
6750
6500
6250
6000
5750
5500
5250
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e6
Vol MA (20)
Volume
Volume
2.5
2.0
1.5
1.0
0.5
0.0
Date

DIVISLAB.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Buyer Control**
Recent Trend Score (10-day avg):	0.10
:	
Distribution:	
No Control:	110
Seller Control:	56
Buyer Control:	54
Seller Strong Control:	4
Buyer Strong Control:	4

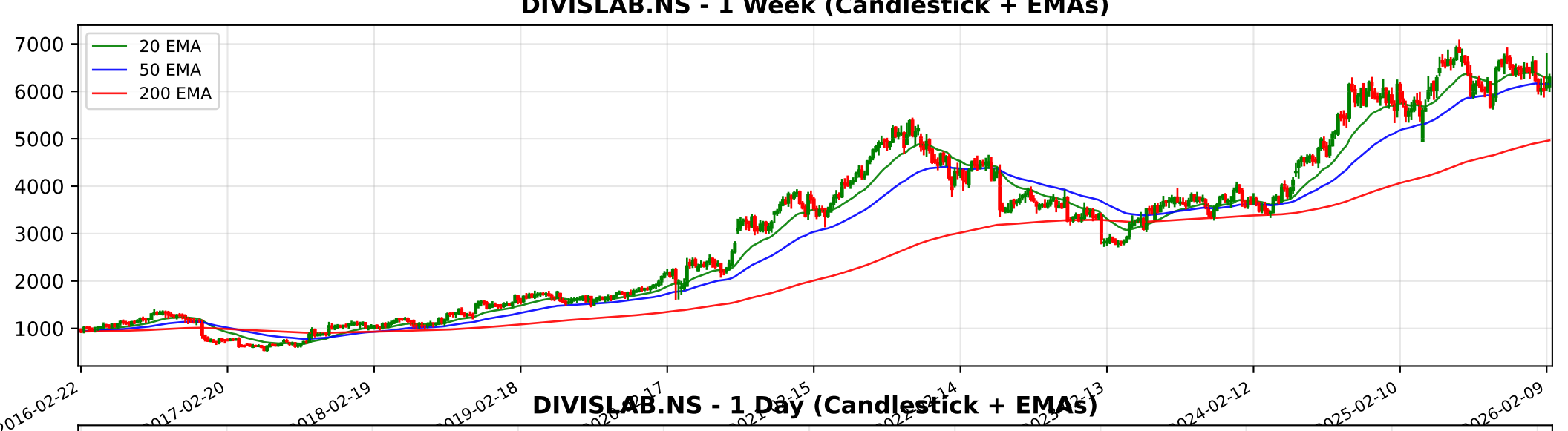
DIVISLAB.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
7000
6800
6600
6400
6200
6000
5800
5600
1e6
Volume
2.0
1.5
1.0
0.5
0.0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

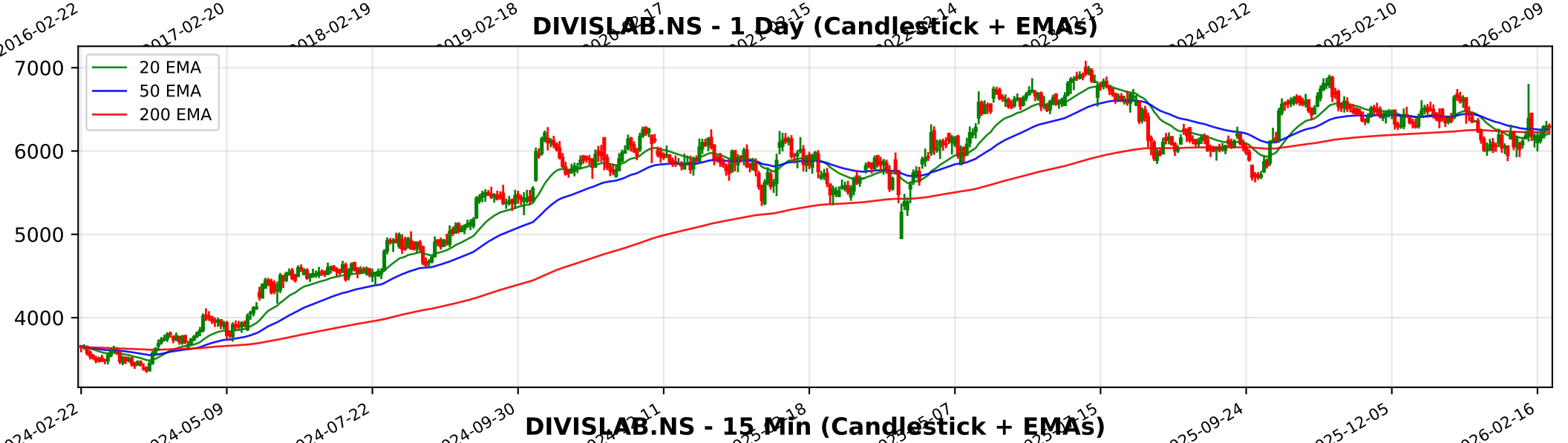
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	6695.25	6291.0	2026-01-19
1 Day	**DOWNTREND (Sell)**	6392.5	6291.0	2026-01-16
15 Min	**DOWNTREND (Sell)**	6328.11	6291.0	2026-02-20

Multi-Timeframe MACD Analysis

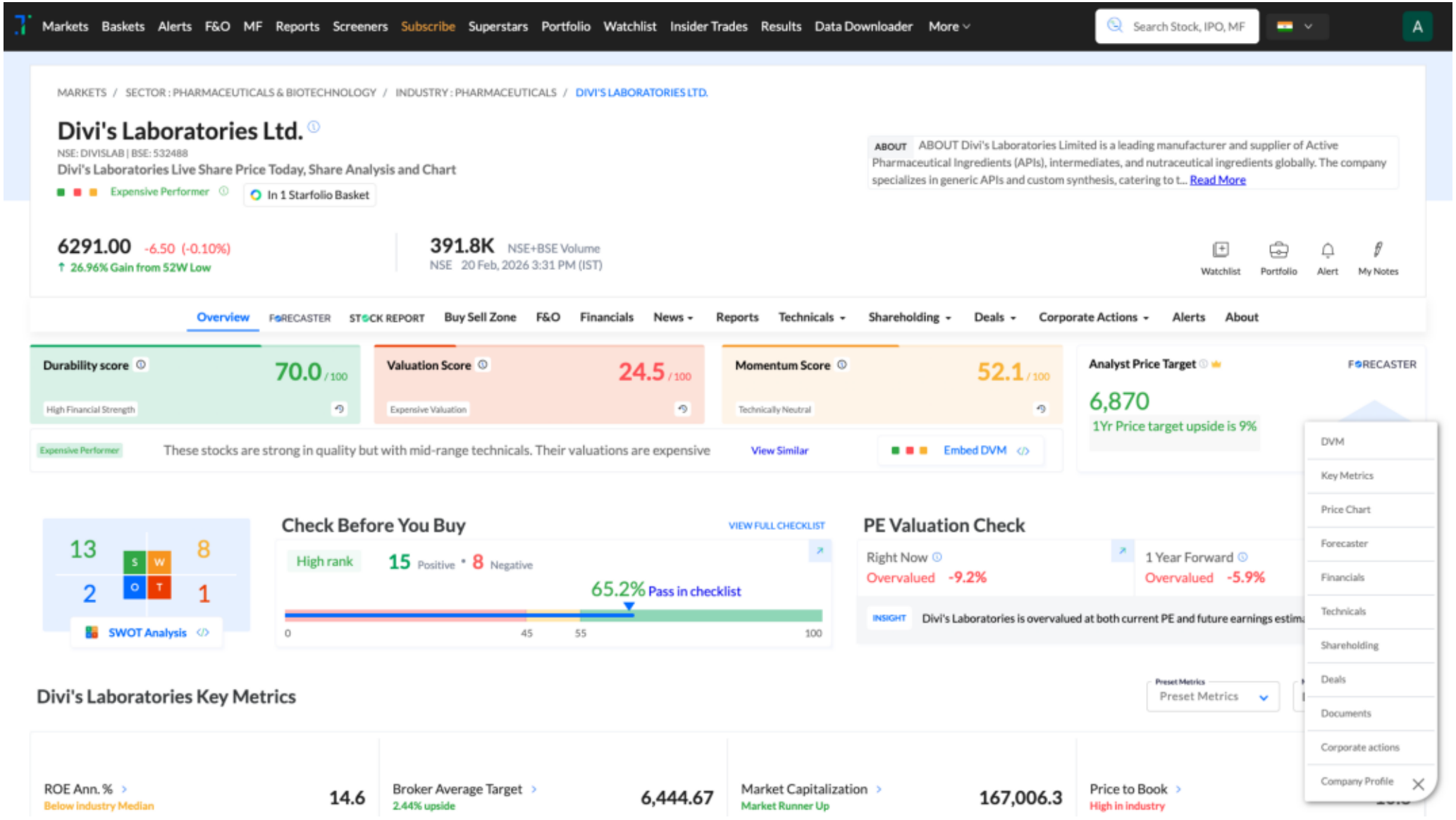
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Weakening	No Signal
1 Day	**Bullish**	Strengthening	No Signal
15 Min	**Bearish**	Strengthening	No Signal


DIVISLAB.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6000
5000
4000
3000
2000
1000
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


DIVISLAB.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6000
5000
4000
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16

DIVISLAB.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
6600
6400
6200
6000
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - DIVISLAB_main



Trendlyne Snapshot - DIVISLAB_forecaster

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MARKETS / SECTOR : PHARMACEUTICALS & BIOTECHNOLOGY / INDUSTRY : PHARMACEUTICALS / DIVI'S LABORATORIES LTD.

Divi's Laboratories Ltd.

NSE: DIVISLAB | BSE: 532488

Expensive Performer

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6291.00 -6.50 (-0.10%)

↑ 26.96% Gain from 52W Low

391.8K NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

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Divi's Laboratories - DIVISLAB - stock price prediction, stock forecast, target price, analyst ratings from 31 analysts

Divi's Laboratories has a share price target of Rs 6870, revenue growth forecast of 13.6%, and profit growth estimate of 17.0% for FY26, based on top 31 analyst calls.

Divi's Laboratories FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

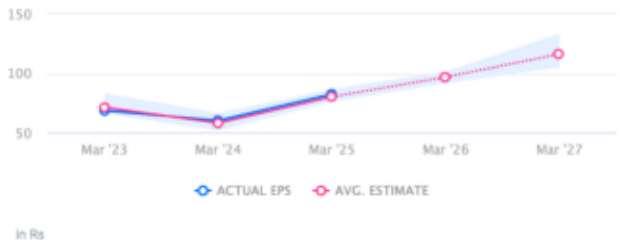
SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

↑ HIT Divi's Laboratories's share price target is above the current price, with an upside of 9.2%

EPS FORECAST

QUARTER ANNUAL



↑ HIT Divi's Laboratories's EPS was higher than average estimate 2 times in past 3 years

CONSENSUS RECOMMENDATION

31 ANALYST Recommendations

HOLD

The consensus recommendation from 31 analysts for Divi's Laboratories is HOLD